Ludhiana. After spending some time in comfortable environments and after some casual and respectful interrogation (the investigation officer used the word 'janab' or 'sir', before every question), [8] Bhindranwale was released in less than a month, on 15 October 1981. Home Minster Zail Singh made a statement in parliament that as no incriminating evidence had been found against Bhindranwale, he was being released.

There was considerable evidence to suggest that Bhindranwale's release was ordered by the home minister himself. [9] However, a senior Congress politician from Punjab told Satish Jacob, 'It was Mrs Gandhi herself who actually ordered the Sant's release.' This was confirmed by a family member of the president of the DSGMC, who told Mark Tully, 'Santokh Singh himself went and pleaded with Mrs Gandhi for Bhindranwale's release, threatening that it would not be possible to keep the Delhi Gurudwara Management committee loyal to the Congress if Bhindranwale was not set free.' Tully and Jacob wrote: 'By surrendering justice to petty political gains, the government itself created the ogre who was to dominate the last years of Mrs Gandhi and to shadow her until her death.' [10]

Bhindranwale's arrest from Chowk Mehta and his subsequent release in fact helped raise his profile as an important leader of the Sikh community in Punjab and granted him the status of a hero. Bhindranwale himself said after his release that the government had done more for him through his arrest than he could have achieved in years.

On the day Bhindranwale was arrested, three Sikhs on a motorcycle fired at Hindus in a marketplace in Jalandhar, killing four and injuring twelve. The next day one Hindu was killed and thirteen people injured in a similar incident in Tarn Taran near Amritsar. Five days later a goods train was derailed near Amritsar. Two other attempts were made to derail trains by tampering with the tracks.

On 29 September 1981, five members of the Dal Khalsa, including its newly elected head Gajinder Singh, hijacked Indian Airlines Flight 423 from Srinagar to Delhi and diverted it to Lahore, demanding Bhindranwale's release from jail. By now the Dal